

But many other sons and daughters of affluent parents become PAWs. The evidence suggests this happens when their parents are frugal and well disciplined and instill these values, as well as independence, in their children.

The popular press often paints a different picture. Too often they tout the “Abe Lincoln” stories. They dramatize those cases in which a child from a blue-collar background became very successful. They provide anecdotal evidence that the discipline of being poor is a prerequisite to becoming a millionaire in America. If that were true, one would expect there to be at least thirty-five million millionaire households in America today. But we know that there is only about one-tenth that number.

It is true that most millionaires are the sons and daughters of non-millionaire parents, since the nonmillionaire population is more than thirty times larger than its counterpart. Only a generation ago it was more than seventy times larger. The enormous size of the nonmillionaire population has a great deal to do with why most millionaires come from nonmillionaire households. As a probability statement, millionaires are more likely to give birth to millionaires. Accordingly, the odds of becoming a millionaire are lower for individuals who are the products of nonmillionaires.